

Member ID: _____

Time: _____

Rank: _____



PAYROLL ACCOUNTING

(125)

STATE 2022

CONCEPT KNOWLEDGE:

Multiple Choice (15 @ 2 points each) _____ (30 points)

APPLICATION KNOWLEDGE:

Short Answer (10 @ 2 points each) _____ (20 points)

Job 1 – Commission Report (2 points each) _____ (8 points)

Job 2 – Payroll Register (1 point each) _____ (38 points)

Job 3 – Journal Payroll Entry (2 points each) _____ (28 points)

TOTAL POINTS _____ ***(124 points)***

Test Time: 60 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Contestant must hand in this test booklet and all printouts if any.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 60 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all percentages to two decimal places unless otherwise indicated.
- Assume all employees earn overtime for any hours worked over 40 hours in a week unless otherwise instructed.
- All calculations regarding time should be rounded to the nearest quarter hour.
- Use 6.2% for Social Security Tax on the first \$100,000 in wages.
- Use 1.45% for Medicare Tax for all wages.
- Use 5.4% for State Unemployment Tax and 0.8% (\$7,000 ceiling) for Federal Unemployment Tax.
- Assume no employee has accumulated earnings in excess of the social security tax, SUTA, or FUTA base unless otherwise indicated.

Multiple Choice:

Identify the letter of the choice that *best* completes the statement or answers the question.

1. In the payroll register, the total of the Net Pay column is credited to _____.
 - A. an asset account
 - B. an expense account
 - C. a liability account
 - D. a revenue account
2. A W-2 must be postmarked no later than _____.
 - A. December 31
 - B. February 1
 - C. January 1
 - D. January 31
3. Your regular rate of pay multiplied by your hours worked in a pay period minus all deductions is called _____.
 - A. gross pay
 - B. net pay
 - C. payroll expense
 - D. salary expense
4. _____ does not appear on a W-2.
 - A. Federal Withholding Tax
 - B. Gross Pay
 - C. Net Pay
 - D. Social Security Tax
5. An employee's regular earnings are calculated as _____.
 - A. overtime rate of pay plus overtime hours worked
 - B. regular rate of pay times regular hours worked
 - C. total hours worked plus regular rate of pay
 - D. regular rate of pay plus overtime rate of pay
6. An employee who is paid bi-weekly will receive _____ paychecks in a year.
 - A. 12
 - B. 24
 - C. 26
 - D. 52
7. Until amounts withheld from employee salaries are paid by the employer, they are considered _____.
 - A. Assets
 - B. Expenses
 - C. Liabilities
 - D. Revenues

8. The accumulated earnings column of the Employee Earnings Record shows _____.
 - A. gross pay for the current quarter
 - B. gross pay for the year
 - C. net pay for the current quarter
 - D. net pay for the year
9. When making the journal entry for the employer's payroll taxes, what account should be debited?
 - A. Cash
 - B. Payroll Expense
 - C. Payroll Payable
 - D. Salary Expense
10. If Derrick works 46 hours in a week and his hourly rate of pay is \$8.76, what is Derrick's gross pay?
 - A. \$350.40
 - B. \$402.96
 - C. \$429.24
 - D. \$439.24
11. When a weekly payroll is paid, the credit to Cash is equal to the _____.
 - A. gross pay of all employees
 - B. net pay of all employees
 - C. total deductions of all employees
 - D. total earnings of all employees
12. Social Security taxes are paid _____.
 - A. by employers only
 - B. by employees only
 - C. more by the employer than the employee
 - D. equally by both the employer and the employee
13. Claire's regular biweekly earnings are \$2,845 per regular pay period. What is Claire's overtime rate?
 - A. \$35.56
 - B. \$46.62
 - C. \$53.34
 - D. \$71.13
14. A business form used to record details affecting payments made to an individual employee is called a(n) _____.
 - A. Commission Record
 - B. Employee Earnings Record
 - C. General Journal
 - D. Payroll Register

15. A local dry cleaner has four employees. Their gross pay for the week was \$925, \$878, \$983, and \$654. What is the total amount of Social Security and Medicare taxes withheld?
- A. \$213.28
 - B. \$263.16
 - C. \$283.16
 - D. \$860.00

Short Answer: Answer the following questions and write the answer on the line provided.
(10 @ 2 points each = 20 points)

16. Brooke worked 49 hours at a rate of \$9.00 per regular hour of work. The following taxes were withheld from Brooke's check: Federal Income Tax \$35.00, Social Security \$29.85, Medicare \$6.98. What is Brooke's gross pay?
- _____

17. An employee worked five hours of overtime this week. How much did the employee make in overtime pay if the regular rate of pay is \$8.50 per hour?
- _____

18. Ethan worked 80 regular hours and 5.5 overtime hours in two weeks. What are his total earnings if his overtime rate of pay is \$12.00 per hour?
- _____

19. If Joey earns \$6,934.00 for the year, what would be the employer portion of each of the taxes listed below.

- a. Social Security Tax _____
- b. Medicare Tax _____
- c. Federal Unemployment Tax _____
- d. State Unemployment Tax _____

20. Yoon Hee is paid solely on commission. She earns an 8% commission on the first \$24,000 sales in a month and 10% for any sales above \$24,000. Calculate Yoon Hee's commissions for the fourth quarter of the year.

October Sales	November Sales	December Sales
\$48,500	\$32,175	\$46,990

- a. October commission _____
- b. November commission _____
- c. December commission _____

Job 1: Commission Report (4 @ 2 points each = 8 points)

Calculate the amount of commissions each employee would receive based on their weekly sales. Each employee earns a 7.5% commission on sales.

Employee	Monday	Tuesday	Wednesday	Thursday	Friday	Total Commission Earned
1	140.56	572.58	367.57	230.24	125.32	
2	657.24	348.01	697.24	698.89	671.35	
3	867.48	924.40	951.32	753.24	420.12	
4	852.14	741.36	963.85	713.90	964.28	

Job 2: Payroll Register (38 @ 1 point each = 38 points)

Complete the payroll register for the week ended October 15 for the employees listed below. Use 8% for Federal Income Tax. Insert the commissions you calculated in Job 1 for each employee into the Payroll Register.

Earnings					Deductions					
Emp #	Regular Earnings	Overtime	Commission Earned	Total	Federal Income Tax	Social Security Tax	Medicare Tax	Insurance	Total	Net Pay
1	824.00	64.45						54.00		
2	500.00	-0-						22.00		
3	751.20	94.50						54.00		
4	640.00	60.00						54.00		
Total										

Job 3: Journalizing the Payroll (2 points per answer = 28 points)

Use the payroll register you completed in Job 2 to journalize the payment of the payroll. The payroll was disbursed on October 15. Check 105.

General Journal						Page 4
Date		Account Title	Doc. No.	Post. Ref.	Debit	Credit